

REVENUE GUIDE

Hotel Revenue Management: A Field Guide

ADR, RevPAR and occupancy explained simply, with a worked example you can copy for your own property.

Revenue Guide · Updated April 2026

For: independent hotels and revenue managers

Published by XYVOO — hotel management and storefront software. This guide is provided for general information and reflects practices we've seen work across the properties and shops we support; treat figures and thresholds as a starting point to adapt to your own operation.

The three numbers that matter

Revenue management sounds like a specialism reserved for large chains with dedicated analysts. In practice, almost all of it comes down to tracking three numbers and understanding how they move together. Get comfortable with these and the rest — dynamic pricing, forecasting, channel strategy — is just applying them consistently.

Occupancy Rate

The percentage of available rooms sold on a given night.

FORMULA

$\text{Occupancy Rate} = \text{Rooms Sold} \div \text{Rooms Available} \times 100$

Average Daily Rate (ADR)

The average price paid per occupied room, ignoring vacant rooms entirely.

FORMULA

$\text{ADR} = \text{Total Room Revenue} \div \text{Rooms Sold}$

Revenue Per Available Room (RevPAR)

The one number that ties the other two together — it captures both how full you are and how much you charged, in a single figure.

FORMULA

$\text{RevPAR} = \text{ADR} \times \text{Occupancy Rate}$ (or: $\text{Total Room Revenue} \div \text{Rooms Available}$)

The reason RevPAR matters more than either number alone: a hotel can be 100% full at a low rate and a hotel can be half-full at a high rate, and both can produce the same revenue. RevPAR tells you which situation you're actually in, and lets you compare weeks, seasons or competitors fairly.

Worked example

A 40-room property, one Saturday night in April:

Metric	Value
Rooms available	40
Rooms sold	32
Total room revenue	£1,440,000
Occupancy rate	$32 \div 40 = 80\%$
ADR	$£1,440,000 \div 32 = £45,000$
RevPAR	$£45,000 \times 80\% = £36,000$

Now compare that to a slower Tuesday: 20 rooms sold at the same rate, and a RevPAR of just £22,500 — the same rate, but a very different pricing strategy exists to close: either by lifting Tuesday occupancy or by finding demand (business travellers, late bookers) willing to pay

Reading your own numbers weekly

Tracking RevPAR by day of week, not just by month — a monthly

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Simple pricing moves that compound

- ☐ Raise rates in small, frequent steps (2–5%) as occupancy climbs past 70% for a given date, rather than one large seasonal jump.
- ☐ Set a minimum length of stay around known high-demand dates (public holidays, local events) instead of raising rate alone.
- ☐ Offer a modest early-booking discount for dates more than 60 days out to lock in base occupancy, then let rate rise as the date approaches and rooms become scarce.
- ☐ Review your lowest-occupancy weekday every month and test one lever at a time — rate, minimum stay, or a targeted offer — rather than changing everything at once.

A note on discounting

The instinct when occupancy is soft is to cut rate. It works, but it's the most expensive lever you have, because a rate cut applies to every room you'd have sold anyway at the higher price. Try minimum-stay adjustments, added-value packages (a free breakfast rather than a lower rate), or targeted direct-channel promotions before an across-the-board discount — they protect ADR while still filling rooms.

How XYVOO helps

XYVOO's revenue dashboard calculates occupancy, ADR and RevPAR automatically from your reservations and folios — by day, by room type, and by channel — so you're reading the numbers above without a spreadsheet stitched together at month-end.

